Amendment of section 56.

32. In section 56 of the Income-tax Act, in sub-section (2),—

(*a*) in clause (*viib*),—

(*i*) with effect from the 1st day of April, 2024, the words "being a resident" shall be omitted;

(*ii*) in the *Explanation*, in clause (*aa*), after the words and figures "Securities and Exchange Board of India Act, 1992 (15 of 1992) or regulated under the", the words, brackets and figures "International Financial Services Centre Authority (Fund Management) Regulations, 2022 made under the" shall be inserted;

(*b*) after clause (*xi*), with effect from the 1st day of April, 2024, the following clauses shall be inserted, namely:—

'(*xii*) any specified sum received by a unit holder from a business trust during the previous year, with respect to a unit held by him at any time during the previous year.

Explanation.—For the purposes of this clause, "specified sum" shall be computed in accordance with the following formula, namely:—

Specified sum=A-B-C (which shall be deemed to be zero if sum of B and C is greater than A), where—

A=aggregate of sum distributed by the business trust with respect to such unit, during the previous year or during any earlier previous year or years, to such unit holder, who holds such unit on the date of distribution of sum or to any other unitholder who held such unit at any time prior to the date of such distribution, which is,—

(*a*) not in the nature of income referred to in clause (*23FC*) or clause (*23FCA*) of section 10; and

(*b*) not chargeable to tax under sub-section (2) of section 115UA;

B=amount at which such unit was issued by the business trust; and

C=amount charged to tax under this clause in any earlier previous year;

(*xiii*) where any sum is received, including the amount allocated by way of bonus, at any time during a previous year, under a life insurance policy, other than the sum,—

(*a*) received under a unit linked insurance policy;

(*b*) being the income referred to in clause (*iv*),

which is not to be excluded from the total income of the previous year in accordance with the provisions of clause (*10D*) of section 10, the sum so received as exceeds the aggregate of the premium paid, during the term of such life insurance policy, and not claimed as deduction under any other provision of this Act, computed in such manner as may be prescribed.

Explanation.—For the purposes of this clause "unit linked insurance policy" shall have the meaning assigned to it in *Explanation 3* to clause (*10D*) of section 10.'.